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Code No: 126EJ

JAWAHARLAL NEHRU TECHNOLOGICAL UNIVERSITY HYDERABAD
B. Tech III Year II Semester Examinations, February/March - 2022
MANAGERIAL ECONOMICS AND FINANCIAL ANALYSIS
(Common to ECE, CSE, MMT)

Time: 3 hours **Max. Marks: 75**

Answer any five questions
All questions carry equal marks
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1.a) Briefly explain the Nature and Scope of Managerial Economics.
b) What is the role of Managerial Economist? Give some examples. [7+8]

2.a) Define Law of Demand and its assumptions.
b) What is Demand Forecasting and what are the factors governing Demand Forecasting. [7+8]

3.a) Explain Cobb-Douglas Production Function with its formula.
b) Brief on Isoquants and Isocosts. [8+7]

4.a) What is Break-Even Analysis and describe how do you determine breakeven point (BEP)?
b) From the following information, calculate Break Even Point (BEP) in Units and in Sales Value: Output = 30,000 units; Selling Price per Unit = Rs.30/-; Variable Cost per Unit = Rs.20/-; Total Fixed Costs = Rs.20,000/. [7+8]

5.a) Give a brief comparison of Basic Market forms viz. Perfect Competition; Monopoly and Monopolistic Competition on any five factors.
b) What is the Definition of Market? Give any four features of Market. [8+7]

6.a) Briefly explain different forms of Business Enterprises.
b) Write a brief sketch on Changing Business Environment in the Post-Liberalization Era. [7+8]

7.a) i) What is Capital Budgeting?
ii) Briefly explain Accounting Rate of Return (ARR) and Payback Period methods with formulae.
b) A small project requires Project Cost of Rs.5,000 which yields cash inflows of Rs.2,500, Rs.2,000 and Rs.2,000 for the next 3 years. The project's required rate of return is 15%. Is the project worth funding? [8+7]

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8.a) Differentiate between Capital Expenditure and Revenue Expenditure on any five points of differentiation.

b) From the following Data, calculate: (i) Debt::Equity Ratio and (ii) Current Ratio [7+8]

Liabilities (Rs. Lakhs)		Assets (Rs. Lakhs)	
Equity Share Capital	2.50	Land & Buildings	4.50
Preference Capital	2.00	Plant & Machinery	4.00
Reserves	2.00	Inventory	1.50
Debentures	3.00	Sundry Debtors	1.00
Sundry Creditors	1.50	Cash & Bank Balance	0;45
Bank Overdraft	0.50	Pre-paid Expenses	0.05
Total:	11.50	Total	11.50

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